

Insurance General Application

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1

Application and Definitions

1.1

Unless otherwise stated, this Part applies to all firms for the purposes of determining whether they are subject to any of the provisions of the Solvency II Firms Sector of the PRA Rulebook.

1.2

In this Part, the following definitions shall apply:

ancillary risk

1. (1) subject to (2), means (in relation to an insurer with Part 4A permission to insure a principal risk belonging to one class of general insurance business) a risk included in another such class which is:

1. (a) connected with the principal risk,
2. (b) concerned with the object which is covered against the principal risk, and
3. (c) the subject of the same contract insuring the principal risk.

2. (2) the risks included in classes 14, 15 and 17 may not be treated as risks ancillary to other classes, except that the risk included in class 17 may be regarded as an ancillary risk of class 18 where:

1. (a) the conditions laid down in (1)(a) to (1)(c) are fulfilled, and
2. (b) the principal risk relates solely to assistance provided for persons who fall into difficulties while travelling, while away from home or while away from their permanent residence or where it concerns disputes or risks arising out of, or in connection with, the use of sea going vessels.

[Note: Art. 16 of the Solvency II Directive]

assistance

means the class of contract of general insurance, specified in paragraph 18 of Part I of Schedule 1 to the Regulated Activities Order.

requirement

means a requirement or limitation included in a firm's Part 4A permission under section 55F(4) of FSMA (Giving permission: the PRA), section 55L of FSMA (Imposition of requirements by the FCA), section 55M of FSMA (Imposition of Requirements by the PRA) or section 55O of FSMA (Imposition of requirements on acquisition of control).

Solvency II excluded operations

means:

1. (1) a _mutual_ whose _insurance business_ is restricted to the provision of benefits which vary according to the resources available and in which the contributions of the members are determined on a flat- rate basis; or
2. (2) a _mutual_ whose liabilities in respect of _contracts of general insurance_ must be fully reinsured with or guaranteed by other _mutuals_ (including _friendly societies_) and the _mutuals_ providing the _reinsurance_ or the guarantees are _Solvency II undertakings_.

syndicate liabilities

means liabilities managed by a _managing agent_ in respect of _insurance business_ carried on through a _syndicate_.

2

UK Solvency II Firm

2.1

A _UK Solvency II firm_ means a _firm_ :

1. (1) that satisfies the conditions set out in 2.2, or
2. (2) whose _Part 4A permission_ includes a _requirement_ that it comply with the Solvency II Firms Sector of the _PRA_ Rulebook.

2.2

The conditions referred to in 2.1(1) are, subject to the exclusions in 2.3 to 2.6:

1. (1) the _firm_ is an _insurer_ ;
2. (2) the _firm_ has its head office in the _UK_ ;
3. (3) the _firm?s_ _Part 4A permission_ does not include a _requirement_ that it must only carry on _Solvency II excluded operations_ ;
4. (4) if the _firm_ is a _Solvency I firm_ , it is not excluded pursuant to 2.6;
5. (5) if the _firm_ is a _non-Solvency I firm_ , it is not excluded pursuant to:
 1. (a) 2.3 on the _Solvency II implementation date_ ; or
 2. (b) 2.6;
6. (6) if it obtained its _Part 4A permission_ to _effect contracts of insurance_ and/or _carry out contracts of insurance_ on or after _Solvency II implementation date_ , the _firm_ is not excluded pursuant to:
 1. (a) 2.3 on the date it obtains such _Part 4A permission_ , unless 2.5 applies; or
 2. (b) 2.6; and
7. (7) the _firm_ is not a _pure reinsurer_ which ceased to conduct new _reinsurance contracts_ before 10 December 2007.

[Note: Art. 2(1), Art. 4(1), (3), (4), Art. 5(2), Art. 7, Art. 9(1), (2), Art. 12(1) of the _Solvency II Directive_]

2.3

Subject to 2.5, a _firm_ of the kind mentioned in 2.2(5) or 2.2(6) is excluded if it fulfils all of the following conditions:

1. (1) the _firm?s_ annual gross written premium income does not exceed £25,000,000;
2. (2) the total of the _firm?s_ _technical provisions_ , gross of the amounts recoverable from _reinsurance contracts_ and _UK ISPVs_ , as referred to in Technical Provisions 2.1 to 2.3 does not exceed £50,000,000;
3. (3) where the _firm_ belongs to a _group_ , the total of the _technical provisions_ of the _group_ defined as gross of the amounts recoverable from _reinsurance contracts_ and _UK ISPVs_ does not exceed £50,000,000;

4. (4) the business of the _firm_ does not include insurance or _reinsurance_ activities covering liability, credit and suretyship insurance risks, unless they constitute _ancillary risks_ ; and
5. (5) the business of the _firm_ does not include _reinsurance_ operations:
 1. (a) exceeding:
 1. (i) £2,500,000 of its gross written premium income; or
 2. (ii) £5,000,000 of its _technical provisions_ gross of the amounts recoverable from _reinsurance contracts_ and _UK ISPVs_ ; or
 2. (b) with more than 10% of its gross written premium income or more than 10% of its _technical provisions_ gross of the amounts recoverable from _reinsurance contracts_ and _UK ISPVs_.

[Note: Art. 4(1) of the Solvency II Directive]

2.4

A _firm_ excluded under 2.3 shall cease to be excluded under that rule:

1. (1) from the fourth year if any of the amounts set out in 2.3(1), 2.3(2), 2.3(3) or 2.3 (5) are exceeded in each of the three preceding consecutive years after the _Solvency II implementation date_ ; and
2. (2) for so long as it continues to _carry out contracts of insurance_ effected before _IP completion day_ if:
 1. (a) it exercised _EEA rights_ under the _Solvency II Directive_ before _IP completion day_ ;
 2. (b) its business includes insurance or _reinsurance_ activities covering liability, credit or suretyship insurance risks, unless they constitute _ancillary risks_.

[Note: Art. 4(2), Art. 4(4)(2 nd sub-paragraph) of the _Solvency II Directive_]

2.5

Subject to 2.6, a _firm_ of the kind mentioned in 2.2(6) is not excluded under 2.3 for so long as it continues to _carry out contracts of insurance_ effected before _IP completion day_ if;

1. (1) any of the amounts set out in 2.3(1), 2.3(2), 2.3(3) or 2.3(5) are expected to be exceeded within five years of the date the _firm_ obtained its _Part 4A permission_ to _effect contracts of insurance_ and/or _carry out contracts of insurance_ ;
2. (2) it exercised _EEA rights_ under the _Solvency II Directive_ before _IP completion day_.

[Note: Art. 4(3), Art. 4(4)(2 nd sub-paragraph) of the _Solvency II Directive_]

2.6

A _firm_ of the kind mentioned in 2.2(4), 2.2(5) or 2.2(6) is excluded provided

1. (1) [deleted.]
2. (2) none of the thresholds set out in 2.3:
 1. (a) has been exceeded for three consecutive years; and
 2. (b) is expected to be exceeded during the following five years.

[Note: Art. 4(4) of the _Solvency II Directive_]

3

Lloyd's

3.1

Where a provision in the Solvency II Firms Sector of the _PRA_ Rulebook is expressed to apply to the _Society_ ?in accordance with? this Chapter, the _Society_ must:

1. (1) manage each _member?s funds at Lloyd?s_;
2. (2) carry out any applicable calculations in respect of each _member?s funds at Lloyd?s_;
3. (3) manage its _central assets_ and _central liabilities_ ;
4. (4) where the context requires, supervise the _insurance business_ carried on by each _member_ at Lloyd?s; and
5. (5) take such further steps as may be required,

in order to achieve, in relation to those assets and liabilities and that _insurance business_ , the same effect as the relevant provision of the Solvency II Firms Sector of the _PRA_ Rulebook would have (that is, conforming with the requirements of any rule) when applied to a _UK Solvency II firm_.

3.2

Where a provision in the Solvency II Firms Sector of the _PRA_ Rulebook is expressed to apply to a _managing agent_ ?in accordance with? this Chapter, the _managing agent_ must, in relation to each _syndicate_ managed by it and for each _syndicate_ year:

1. (1) manage the _syndicate assets_ and _syndicate liabilities_ ;
2. (2) manage the _insurance business_ carried on by the _members_ of the _syndicate_ through that ___syndicate_ ; and
3. (3) take such further steps as may be required,

in order to achieve, in relation to those _syndicate assets_ and _syndicate liabilities_ and that _insurance business,_ the same effect as the relevant provision of the Solvency II Firms Sector of the _PRA_ Rulebook would have (that is, conforming with the requirements of any rule) when applied to a _UK Solvency II firm_.

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Euro Interpretation [Deleted]

4.1

[Deleted]

4.2

[Deleted]